Veritas: Business and Revenue Model

Prepared for the final round presentation. All prices and projections are illustrative assumptions to be validated with real customers.

1. The business in one minute

Veritas is software that sits inside a company's own network, watches its application logs and API traffic, and flags any improper handling of personal data under India's Digital Personal Data Protection Act (DPDPA) 2023. Every finding is stored as tamper-evident evidence that a compliance officer can show to an auditor or regulator.

How we make money: companies pay an annual license fee based on how many servers (agents) they monitor. On top of that we sell onboarding and policy-mapping services, support upgrades, and we pay referral margins to consultants who bring us customers.

Why customers buy: the law carries penalties of up to ₹250 crore, most companies cannot see where personal data leaks inside their own systems, and manual audits are slow and cannot prove anything. Veritas does it continuously, keeps data inside the customer's network, and understands Indian identifiers such as Aadhaar, PAN and phone numbers.

2. The problem we solve

- **Personal data leaks into places nobody checks.** A developer leaves a debug line that prints a customer's name and phone number into a log file. Thousands of such lines pile up unnoticed.
- **The law is strict and enforcement is coming.** DPDPA introduces heavy penalties and requires organisations to handle personal data for stated purposes only, for limited time, and with proper safeguards. The main obligations phase in over roughly 18 months from when the Rules were notified. Check the latest official dates before quoting them on a slide.
- **Current options are weak.** Manual audits happen once or twice a year and cannot prove nothing changed afterwards. Global tools are expensive, often cloud-based (which means sending sensitive data out), and are not tuned for Indian identifiers.

- **Compliance teams need evidence, not opinions.** When a regulator asks "show me what happened and what you did about it", most companies have nothing reliable to show.

3. Our solution

What it does	How it helps the customer
Agents read application logs and forward them to the Veritas server	Nothing is changed in the customer's applications
PII detection finds names, Aadhaar, PAN, phone numbers and more	Catches what humans miss
Four rules compare findings with the company's declared policy: exposure, purpose, retention, linkage	Each finding maps to a clear DPDPA concern
Evidence is stored in a hash chain that anyone can verify	Proof that records were not edited afterwards
Live dashboard with case handling (open, acknowledged, resolved)	Compliance staff work cases like tickets
PDF and evidence export	Ready-made material for auditors
Optional AI investigation (cloud or local model) that never sees raw personal data	Faster understanding of each case

Where it runs: one server inside the customer's network, plus a small agent on each application host. Agents only make outbound calls, and licensing works offline.

4. Who we sell to

Beachhead customer (first 18 months): mid-size Indian companies with 20 to 500 engineers that handle sensitive identifiers and have a DPO, a CISO or a compliance lead. Typical sectors:

- Fintech and lending apps (Aadhaar, PAN, bank details)
- Healthtech (patient data)
- Edtech and e-commerce (names, phones, addresses)

- SaaS companies serving Indian enterprises

Why start here: they feel the pain, can decide quickly, have real log volumes, and do not have a large internal tooling team.

Later segments: banks and NBFCs (stricter sector rules), large enterprises, IT services firms handling client data, and government-linked vendors.

Who inside the company: the buyer is usually the CTO, CISO or DPO. The users are compliance analysts, auditors and management viewers (our built-in roles match this exactly).

5. Competitive position

Option	Weakness we exploit
Manual audits and consultants alone	Periodic, slow, no continuous proof
Global privacy platforms	Expensive, heavy, built around other laws
Cloud-based data discovery tools	Customer data must leave the network
Building in-house	Takes months, needs rare expertise, no audit-grade evidence design

Our edge: on-premise and offline-capable, India-specific detection, tamper-evident evidence, and a one-day deployment.

Honest caveat: the detection library underneath (Presidio) is open source, so our real advantage is the packaging, the Indian recognizers, the evidence system, and the compliance workflow, not the model itself.

6. Business model canvas

Block	Veritas
Customer segments	Mid-size Indian fintech, healthtech, edtech, e-commerce, SaaS
Value proposition	Continuous DPDPA monitoring with verifiable evidence, inside your network

Block	Veritas
Channels	Direct outreach, consultant partners, website demo bookings, content, events
Customer relationships	Founder-led pilots, onboarding support, annual renewal reviews
Revenue streams	Annual licenses, onboarding and policy mapping, support and SLA upgrades, extra agent blocks
Key resources	Detection engine, evidence store, offline licensing, cross-platform packages, DPDPA know-how
Key activities	Product development, keeping detection accurate, tracking regulation, pilots and sales
Key partners	Compliance consultants, CA and law firms, managed security providers, incubators
Cost structure	People, sales and marketing, small infrastructure and legal costs

7. Revenue model

7.1 Primary revenue: annual license, priced by monitored hosts

Why this fits Veritas:

- Licenses are signed files that expire on a date, so **annual renewal is the natural revenue moment**.
- The product works offline, so we cannot meter usage live. **Agents are countable and can be capped inside the license.**
- Compliance is already a yearly budget item for our buyers.
- Billing annually avoids reissuing a license file every month.

7.2 Pricing tiers (illustrative)

	Pilot	Starter	Professional (most popular)	Enterprise
For	First evaluation	Small teams proving compliance	Growing compliance teams	Broad coverage, regulated sectors
Length	60 to 90 days	Annual	Annual	Annual, multi-year options
Agents (enforced limit)	Up to 3	Up to 3	Up to 15	40+, custom
Log volume (fair-use guide, soft limit)	Small	About 10 GB/month	About 50 GB/month	Custom
Organisations	1	1	1	Multiple
Users	Up to 5	Up to 5	Up to 25	Unlimited
Four core rules, evidence chain, PDF export	Yes	Yes	Yes	Yes
AI-assisted investigation	Yes	No	Yes	Yes, with local-model setup
Backups and chain verification	Manual	Manual	Scheduled	Scheduled and custom
Support	Email	Email, best effort	Email, next business day	Named contact and SLA
Onboarding	Self-serve	Self-serve docs	Guided setup call	Policy mapping included
Price (annual)	₹25k to ₹50k, credited if they convert	About ₹1.5 to 2 lakh	About ₹4 to 6 lakh	Custom, from about ₹12 lakh

Rules we follow when selling:

- **The agent count is the real limit.** Volume is only a fair-use guideline. Veritas never stops monitoring because a quota is reached, since a compliance tool with blind spots is a liability. We show a usage meter, warn at 80%, and talk about upgrading at renewal.
- **Do not call it "telemetry".** It suggests data leaves the network. Say "log volume analysed".
- **Only advertise what exists.** Multi-organisation support, roles, evidence verification, PDF export, backups and AI investigation are built. Slack alerts, single sign-on and remediation hints are roadmap items and must be labelled that way.
- **Validate every price** in the first customer conversations by asking what they would expect to pay, not by quoting first.

7.3 Why a paid pilot is the first step

A small paid pilot filters out people who only want a free demo, shows investors that someone values the product, and is credited against the annual license if the customer converts. It also gives us real findings from the customer's own logs, which makes the case study.

8. Secondary revenue streams

Stream	What it is	Typical price	Why it matters
Onboarding and policy mapping	We help the customer list the personal data each system holds and turn it into the organisation config (fields, purposes, consent scope, retention)	One-time, about ₹50k to ₹1.5 lakh	This is the hardest step for customers and gives us cash up front
Support and SLA upgrades	Faster response, named contact, scheduled health checks	About 10 to 20% of license value per year	High margin, easy to add later
Extra agent blocks	Additional agents beyond the tier limit, sold in blocks of 10	Pro-rated from tier price	Grows revenue as customers expand without changing tier

Stream	What it is	Typical price	Why it matters
Partner channel	Consultants, CA and law firms and managed security providers refer or resell. They earn a margin, we get reach	15 to 25% referral margin on deals they bring	They advise on DPDPA but have no tooling, so they bring trusted introductions
Annual compliance health report	A yearly review of findings, trends and recommendations written for the DPO or board	Fixed fee per report	Turns data we already hold into a premium deliverable
Training and workshops	Sessions for developers on avoiding PII in logs and for compliance teams on using the dashboard	Per session	Reduces violations, builds relationships, opens upsell
Managed service (later)	We operate and monitor Veritas on the customer's behalf	Monthly retainer	For companies without a compliance team
Hosted lite version (later)	A cloud option for small companies who do not need on-prem	Monthly subscription	Adds a low-end segment, but must be clearly separate from the on-prem promise

Secondary streams matter for two reasons: they bring in cash earlier than renewals, and they pay for the people who deliver onboarding while the product runs itself.

9. Go-to-market plan

Phase 1: prove it (months 0 to 3)

- Run 3 to 5 pilots through personal and college, incubator and founder networks.
- Collect two or three customer quotes and one written case study.
- Publish a 90-second demo video and a pricing page.
- Goal: first paid pilots and at least one letter of intent.

Phase 2: repeatable sales (months 3 to 9)

- Build a target list of about 50 companies (names and roles of the CTO or DPO).
- Reach out with a short demo video, not a long pitch deck.
- Sign 2 to 3 consultancy partners.
- Publish content such as "What DPDPA means for your logs" and "Five places Indian companies leak personal data without knowing".
- Goal: 8 to 12 paying customers.

Phase 3: scale (months 9 to 18)

- Hire a sales lead and a customer success person.
- Add integrations (Slack, ticketing, SIEM) and more compliance workflows such as data-principal requests and breach reporting.
- Explore marketplace listings and sector-specific packages for fintech and healthtech.

Where we find customers: LinkedIn outreach, DPDPA and security communities, OWASP and CISO groups, NASSCOM and local startup meetups, incubators, and partner introductions.

10. Financial outlook (illustrative, three years)

Customer mix

	Year 1	Year 2	Year 3
Starter customers	5	14	30
Professional customers	6	17	48
Enterprise customers	1	4	12
Total customers (cumulative)	**12**	**35**	**90**

Revenue

	Year 1	Year 2	Year 3
License revenue	about ₹51 lakh	about ₹1.7 crore	about ₹5.1 crore

	Year 1	Year 2	Year 3
Onboarding, policy mapping, support upgrades	about ₹8 lakh	about ₹40 lakh	about ₹85 lakh
Total revenue	**about ₹60 lakh**	**about ₹2.1 crore**	**about ₹6 crore**

Assumptions behind this table:

- Average annual prices of about ₹1.75 lakh (Starter), ₹5 lakh (Professional) and ₹12 to 16 lakh (Enterprise), rising slightly each year.
- About 85 to 90% of customers renew each year.
- Partner-sourced deals pay a referral margin of 15 to 25%, which reduces net revenue on those deals.
- Show a cautious case and an optimistic case in the final deck, not just one line.

Costs (Year 1, rough)

Item	Approximate cost
Team (3 to 4 people, modest founder pay)	₹30 to 40 lakh
Sales and marketing	₹5 to 8 lakh
Tools, license portal, CI, domains	₹1 to 2 lakh
Legal, incorporation, compliance	₹2 to 3 lakh
Support and onboarding travel	₹2 to 3 lakh
Total	**about ₹40 to 56 lakh**

Unit economics in plain words

- **Gross margin is high** (aim for 80% or more) because the software runs on the customer's machine, so we pay almost no hosting per customer.
- **The real limit on growth is people**, specifically how many onboardings and support requests the team can handle. This is why the partner channel and self-serve documentation matter.

- **Break-even** in this outlook is somewhere in Year 2, depending on how fast the team is hired.

11. Why this business can be defended

- **On-premise and offline.** Cloud competitors cannot match "your data never leaves your network" without rebuilding their product. Regulated sectors often require it.
- **Indian identifiers done properly.** Aadhaar, PAN and Indian phone validators, mapped to DPDPA, are hard for global tools to match.
- **Evidence integrity.** The hash chain gives auditors something they can verify.
- **Switching costs.** Once the organisation config, evidence history and agents are deployed, replacing the product means losing the continuity of the audit trail.
- **Learning over time.** Each deployment helps improve recognizers and rule templates for that industry.

12. Risks and how we answer them

Risk	Our answer
Regulatory dates slip	The need to control personal data in logs exists regardless, and sector rules from the RBI and SEBI already apply to many of our targets
Big vendors enter India	Compete on on-prem deployment, price, local detection quality, and partner relationships
Long enterprise sales cycles	Start with mid-size firms and use the paid pilot
Single server and SQLite limit scale	Present the roadmap: queue and worker pool first, then Postgres and horizontal ingest
Open-source detection engine	Our value is the workflow, evidence system and Indian layer
Licenses cannot be revoked once issued	Annual terms and upfront payment are the control
Detection accuracy questioned	Publish precision and recall from a labelled test set

Risk	Our answer
Small team stretched by onboarding	Self-serve docs, partners, and paid onboarding to fund hires

13. What we must build to support this model

- [ ] Add `agent_limit`, `max_users` and a `features` list to the signed license (next to tier, org and expiry)
- [ ] Enforce the agent limit at agent registration with a clear message
- [ ] Count monthly log volume and show a usage meter with a soft warning, never a hard stop
- [ ] Show license tier, limits and expiry in the dashboard, with a renewal reminder
- [ ] Pricing page on the website: rename "telemetry" to "log volume analysed", add the annual-billing note, a "Start a pilot" button, and an Enterprise "Talk to us" card
- [ ] Load test the server and set volume guidance at about half of what is proven
- [ ] Finish the ingest queue and worker pool before promising volume to larger customers

14. Metrics we will track

Metric	Why it matters
Pilots that convert to paid	Shows real demand
Annual recurring revenue (ARR)	The headline business number
Average contract value	Shows pricing power
Agents per customer	Shows expansion potential
Sales cycle length	Shows how fast we can grow
Time from install to first finding	Our "time to value", aim for under one day
Detection precision and recall	Shows whether the product can be trusted
Renewal rate	Shows whether customers stay

15. Questions judges are likely to ask

1. **Who pays and why now?** Mid-size companies with a DPO or CISO, because DPDPA penalties are heavy and enforcement is approaching.
2. **How do you make money?** Annual license by number of agents, plus onboarding, support and partner channel.
3. **Why not just use open-source Presidio?** It is a library. We add Indian recognizers, rules mapped to DPDPA, tamper-evident evidence, a dashboard, licensing and deployment.
4. **Does it scale?** Pilot and mid-size ready today; the scale roadmap is queue and worker pool, then Postgres and horizontal ingest.
5. **How accurate is detection?** Quote the precision and recall figures once measured.
6. **What if someone copies the license file?** Licenses can be machine-bound, expire by date, and are renewed annually.
7. **How will you get your first 10 customers?** Pilots through personal networks, partner consultants, and direct outreach with a demo video.
8. **What do you need from us?** Pilot introductions, mentorship, and incubation or credits. For investors, a small pre-seed round tied to a clear milestone such as 10 paying customers and the scale-out work.

16. The ask

For the hackathon: introductions to pilot customers, mentorship from compliance and security leaders, and incubation or credits.

For investors (if relevant): a pre-seed raise of about ₹75 lakh to ₹1.5 crore, used for 12 to 18 months of team costs, scale-out engineering and first-customer acquisition. The milestone it buys: 10 paying customers and a Postgres-based scale-out.

17. Things we still need to confirm

- Real prices from at least five customer conversations
- Latest official DPDPA enforcement dates and penalty details
- Measured server capacity from the load test
- Precision and recall figures from the labelled detection test
- Written pilot confirmations or letters of intent
- Which features are actually shipped versus roadmap on the pricing page

- Company registration, founders' agreement and open-source license review

18. One-line summary for the slide

Veritas is an on-premise DPDPA compliance monitor sold as an annual per-host license, with onboarding services and a consultant partner channel, for mid-size Indian companies that handle sensitive personal data.